

Stereo HCJDA 38  
**JUDGMENT SHEET**

**LAHORE HIGH COURT LAHORE**  
(JUDICIAL DEPARTMENT)

**Civil Revision No.48106 of 2025**

*Lahore Development Authority through its Chief Engineer-I*

*Vs.*

*M/s Zahir Khan & Brothers through its Chief Executive Officer, etc.*

Petitioner by:- Sahabzada Muzaffar Ali, Advocate.

Respondents by: Mr. Bakhtawar Bilal Soofi, Advocate for respondent No.1.

Mr. M. Waleed Waheed Ch., Advocate,  
Registrar of Arbitral Tribunal, in person.

Date of hearing: - 14.10.2025

**JUDGMENT**

**RAHEEL KAMRAN, J.:-** By this petition in terms of section 115 of the Code of Civil Procedure, 1908 (CPC), the petitioner has assailed the *vires* of order dated 31.07.2025 passed by the Civil Judge, Lahore, whereby application moved by petitioner challenging the order dated 17.05.2025 of the Arbitral Tribunal was dismissed.

2. The facts which are essential for the disposal of this petition and are largely undisputed, are that the petitioner and respondent No.1 entered into an agreement on 19.12.2016 for Package-2 of the Orange Line Metro Train Project. The contract contained an arbitration clause for the resolution of any dispute. Upon a dispute arising, the matter was referred to an Arbitral Tribunal (hereinafter ‘the Tribunal’) and proceedings commenced on 24.12.2024, wherein respondent No.1 filed a claim comprising several sub-claims. During the course of these proceedings, the petitioner moved an application before the Tribunal, praying for the

separation and individual adjudication of each sub-claim. This application was dismissed by the Tribunal vide its order dated 17.05.2025. Aggrieved, the petitioner challenged this order before the Civil Judge, who affirmed the Tribunal's decision through the order dated 31.07.2025, which is now impugned before this Court with the following prayer: -

*“In view of the facts, grounds and circumstances as expounded above, it is most respectfully prayed that that this Honorable Court may:*

- 1) Accept this Civil Revision may kindly be accepted and the Impugned Order dated 31-07-2025, passed by the Learned Civil Judge, may very kindly be set aside;*
- 2) Declare all arbitral proceedings conducted after 24th April 2025, including the tribunal's order dated 17th May 2025, null and void;*
- 3) Quash the oral extension of arbitral timeline to 3rd October 2025;*
- 4) Direct the arbitral tribunal to bifurcate claims in strict compliance with FIDIC Clause 67;*
- 5) Award costs of these proceedings throughout in favour of the Petitioner.*
- 6) The operation of the impugned order, orders dated & 17-05-2025 as well as the proceedings before the arbitral tribunal, may also be suspended till the final decision of this revision petition.*
- 7) Any other relief(s), deemed fit and appropriate in the peculiar facts and circumstances of the case, may also be granted.”*

3. Contention of the learned counsel for the petitioner is that prayer of the petitioner for separation of all the claims was justified but the same was wrongly rejected by the Tribunal. Learned counsel for the petitioner explains that the order dated 17.05.2025 by which petitioner's application was dismissed, was passed by the tribunal after 23 days of expiry of its period and admittedly no extension had taken effect at that time, therefore, the order dated 17.05.2025 was not sustainable on this score also. Learned counsel emphasized that although period of the tribunal was extended subsequently, but that was on a date much after 17.05.2025 and it was not extended retrospectively rather the extension was specified to take effect from the date it was given, therefore, no

order could have been passed by the Tribunal lawfully before extension of its period.

4. Conversely, learned counsel for the respondent submits that there is no provision in the Arbitration Act, 1940 (hereinafter 'the Act of 1940') warranting challenge to interlocutory order of a tribunal, as such petitioner is precluded from challenging the interlocutory order dated 17.05.2023. He explains that the Supreme Court of Pakistan has held that if a party is aggrieved by an act of the arbitrator, it may move an application under section 11 of the Arbitration Act seeking removal of the arbitrator but in the instant case petitioner has not moved application under section 11 of the Act. Learned counsel for the respondent emphasized that the petitioner challenged the interlocutory order of the Tribunal by filing an application under sections 14 and 30 of the Act, which are not applicable to the proposition in the case in hand. It is contended that even instant revision is not maintainable as no remedy of revision has been provided in the Act. He adds that whether the claims were to be adjudicated in combine or separately, can be determined by the experts-engineers keeping in view the nature of the claims and the engineers who were arbitrators, proceeded to determine that the prayer for separation of claims was justified. He further adds that petitioner's challenge on the ground of expiry of time is not tenable for the reason that admittedly the petitioner itself during the proceedings before the Tribunal agreed to move an application for extension of time, which fact is even part of the record of the Tribunal, but subsequently instead of filing extension application, petitioner moved application for separation of claims with *mala fide*. Learned counsel emphasizes that what prejudice is to be caused to the petitioner if claims are resolved conjointly, has not at all been asserted by the petitioner in its application and even before this Court, which fact is sufficient to infer that petitioner's application was not a meaningful action rather based on *mala fide* particularly when this is seen in the backdrop of the fact that the petitioner has not so far filed reply of respondent's claims before the

Tribunal. It is contended by the learned counsel for the respondent that once time of tribunal was extended, although extension was after the date of passing of the order by the Tribunal i.e. 17.05.2025, the time of Tribunal would be deemed to be extended from its first expiry. Learned counsel contends that the application was moved by the petitioner before the Tribunal when the Tribunal was functional and hearing was also in-time, however, only decision was after the expiry date, so, it cannot be counted to be after the expiry. Learned counsel maintains that extension of time of Tribunal is not required to be through a written order, rather the parties may extend time by their conduct, e.g., when parties used to appear before the Tribunal after expiry of its period, it would be presumed that they have extended time impliedly by their conduct. In order to substantiate his arguments, learned counsel for the respondent has placed reliance, *inter alia*, on the cases of “WAPDA and another v. Messrs Khanzada Muhammad Abdul Haque Khan Khattak and Company” (PLD 1990 SC 359), “Civil Aviation Authority, Karachi v. KIST Consultants (Pvt.) Ltd. Lahore” (1998 SCMR 2393), “Province of Sindh and 4 others v. Waseem Construction Co.” (1991 CLC 66 [Karachi]). Learned counsel for the respondent has also referred a number of juristic works from International jurisdictions on the subject.

5. In rebuttal, learned counsel for the petitioner submits that one of the grounds for setting aside an award as mentioned in section 30 of the Act is that an arbitrator or umpire has misconducted himself or the proceedings. He explains that petitioner’s grievance qua taking up five distinct claims by the Tribunal conjointly refers to misconduct of the proceedings, as such the order dated 17.05.2025 squarely falls within the interlocutory orders of the tribunal to be challenged, however, it is settled law that mentioning of wrong sections in an application cannot be considered to be a valid ground for dismissal of such application as it is the pith and substance of the application which is to be considered. Learned counsel for the petitioner adds that section 31(3) of the Act specifically provides for moving of applications regarding the conduct of

arbitration proceedings or otherwise arising out of such proceedings, therefore, petitioner's application before the Civil Court was maintainable. It is contended that where remedy of appeal has not been provided in the Arbitration Act, revision under section 155 of CPC would lie. In order to supplement his contentions, learned counsel for the petitioners has placed reliance on the cases of "Gerry's International (Pvt.) Ltd. V. Aeroflot Russian International Airlines" (2018 SCMR 662), "Sardar Muhammad Kamal-ud-Din Khan v. Syed Munir Syed and others" (2022 SCMR 806), "Messrs Tribal Friends Co. v. Province of Balochistan" (2002 SCMR 1903), "Muhammad Yousaf Bhindi and others v. Messrs A.G.E. & Sons (Pvt.) Ltd. And others" (PLD 2024 SC 864), "Injum Aqeel v. Latif Muhammad Chaudhry and others" (2023 SCMR 1361) and "Sh. Saleem Ali v. Sh. Akhtar Ali and 7 others" (PLD 2004 Lahore 404).

6. Arguments heard and record perused.

7. Before analyzing the merits of the petitioner's application for bifurcation of claims moved before the Tribunal, as well as the legal status of the Tribunal's order dated 17.05.2025, the foremost and the fundamental question before this Court is whether an interlocutory order passed by an Arbitral Tribunal, which does not finally determine the rights of the parties, is amenable to challenge before a Civil Court under the Arbitration Act, 1940. To address this question comprehensively, it is essential to revisit the purpose and object of arbitration. Arbitration, as a form of alternative dispute resolution (ADR), provides a speedy, efficient and cost-effective substitute for conventional and often protracted litigation.<sup>1</sup> Particularly in commercial and complex disputes, arbitration is preferred due to its procedural flexibility, technical expertise and finality. The legislative policy underlying the Arbitration is one of minimal judicial intervention. Permitting parties to approach Civil Courts to challenge every procedural or interlocutory order passed by a tribunal would defeat the very object of arbitration, opening the floodgates for recalcitrant parties to delay proceedings and transforming

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<sup>1</sup> "Injum Aqeel v. Latif Muhammad Chaudhry and others" (2023 SCMR 1361).

the arbitrator into a trial court and the Civil Court into a court of first appeal for every minor procedural decision. The scheme of the Act of 1940 reveals no provision granting a right to challenge interlocutory orders. If, however, a party is genuinely aggrieved by an arbitrator's conduct, such as undue delay, partiality or biased procedure, the appropriate remedy lies under Section 11 of the Act of 1940, which empowers the Court to remove an arbitrator or umpire in certain circumstances. For reference, the provision reads as follows:

***“11. Power to Court to remove arbitrators or umpire in certain circumstances.—*** (1) *The Court may, on the application of any party to reference, remove an arbitrator or umpire who fails to use all reasonable dispatch in entering on and proceeding with the reference and making an award.*

(2) *The Court may remove an arbitrator or umpire who has misconduct himself or the proceedings.*

(3) *Where an arbitrator or umpire is removed under this section, he shall not be entitled to receive any remuneration in respect of his services.*

(4) *For the purposes of this section the expression “proceeding with the reference” includes, in a case where reference to the umpire becomes necessary, giving notice of that fact to the parties and to the umpire”*

Accordingly, if a party alleges misconduct, undue delay or procedural impropriety, it may invoke the provisions of Section 11 *ibid* for removal of the arbitrator. The petitioner, however, has not availed this statutory remedy.

8. Nevertheless, a distinction must also be drawn with Section 31 of the Act of 1940. This Section reads as under: -

***“31. Jurisdiction. —*** (1) *Subject to the provisions of this Act, an award may be filed in any Court having jurisdiction in the matter to which the reference relates.*

(2) *Notwithstanding anything contained in any other law for the time being in force and save as otherwise provided in his Act, all questions regarding the validity, effect or existence of an award or an arbitration agreement between the parties to the agreement or persons claiming under them shall be decided by the court in which the award under the agreement has been, or may be, filed, and by no other Court.*

(3) *All applications regarding the conduct of arbitration proceedings or otherwise arising out of such proceedings shall*

be made to the Court where award has been, or may be, filed, and to no other Court”.

(Emphasis supplied by this Court).

Plain reading of above, it is clear that language of subsection (3) is forum-defining, not right-conferring. It designates the exclusive forum for all applications “regarding the conduct of arbitration proceedings,” thereby preventing forum shopping and jurisdictional multiplicity. However, it does not create an independent substantive right to challenge each interlocutory or procedural order passed by the tribunal. The legislature’s deliberate omission of such a right in the Act of 1940 underscores the principle that the Arbitral Tribunal is considered to be the master of its own procedure, particularly where it is composed of technical experts best suited to manage complex factual and procedural issues. Thus, the petitioner’s application for separation of sub-claims constitutes a challenge to the Tribunal’s case management discretion, which is not permissible under the Act. Here reference may be made to authoritative commentary in *Russell on Arbitration* (23rd Edition, p. 271), which distinguishes between awards and procedural orders or directions, emphasizing that the latter are not subject to judicial review:

*“(b) There is no statutory definition of an award in English arbitration law despite the important consequences which flow from an award being made. In principle an award is a final determination of a particular issue or claim in the arbitration. It may be contrasted with orders and directions which address the procedural mechanisms to be adopted in the reference. Such procedural orders and directions are not necessarily final in that the tribunal may choose to vary or rescind them altogether. Thus, questions concerning the jurisdiction of the tribunal or the choice of the applicable substantive law are suitable for determination by the issue of an award. Questions concerning the timetable for the reference or the extent of disclosure of documents are procedural in nature and are determined by the issue of an order or direction and not by an award. The distinction is important because an award can be the subject of a challenge or an appeal to the court, whereas an order or direction in itself cannot be so challenged.*

(Emphasis supplied by this Court).

Further, at page 375, the same treatise notes the historical reluctance of English courts to interfere in arbitral proceedings, observing:

*“Even before the Arbitration Act 1996, the English court had already expressed a reluctance to interfere in the conduct of arbitration proceedings, which they accepted should be left as far as possible to the arbitral tribunal. The court had no general supervisory power over the conduct of arbitrations beyond those powers conferred by the Arbitration Acts then in force. Thus, the tribunal’s decisions during the course of a reference were not reviewable by the court, unless the tribunal exceeded its jurisdiction or it could be shown that what the tribunal was doing or had done was something manifestly contrary to natural justice.”*

Similarly, in *International Commercial Arbitration* (2nd Ed. 2014), by Gary B. Born, the principle of judicial non-interference is described as a fundamental aspect of international arbitration law, essential to preserve the autonomy and efficiency of arbitral proceedings. Relevant extract is as under: -

*“In addition to addressing the content of the procedures that are used in international arbitrations, and the subject of waiver, leading international arbitration conventions, arbitration legislation and institutional rules all adopt a basic principle of judicial non-interference in the ongoing conduct of the arbitral proceedings. This principle is fundamentally important to the efficacy of the international arbitral process, ensuring that an arbitration can proceed, pursuant to the agreement of the parties or under the direction of the tribunal, without the delays, second-guessing and other problems associated with interlocutory judicial review of procedural decisions.”*

The same exposition also noted: -

*“National courts in common law jurisdictions have repeatedly and (almost) uniformly rejected requests for judicial intervention in the procedural conduct of international arbitrations. In the words of one English decision, the English Arbitration Act “contemplates that once matters are referred to arbitration, it is the arbitral tribunal that will generally deal with issues of their jurisdiction and the procedure in the arbitration up to an award, while another English court held that the Act provided for a “minimum of interference in the arbitral process by the courts, at least before an award is made” and emphasized that “the scope for the court to intervene by injunction before an award is made by arbitrators is very limited”.*



The principle of judicial non-intervention, firmly embedded in both international jurisprudence and domestic law, ensures that arbitration proceeds without interruption or judicial oversight of interlocutory matters. The Supreme Court of Pakistan in “Messrs National Construction Co. v. WAPDA” (PLD 1987 SC 461) has unequivocally affirmed the same principle in the following words:

*“The general principle underlying the concept of arbitration as translated in the scheme of the Arbitration Act is that, as the parties choose their own arbitrator to be the Judge in the dispute between them, they cannot when the award is good on the face of it, object to his decision, either upon law or the fact. In other words arbitration in substance ousts the jurisdiction of the Court, except for the purpose of controlling the arbitrator and preventing misconduct and for regulating the procedure after the award.”*

9. By following this well-settled principle of judicial restraint and non-interference, both internationally recognized and domestically affirmed, this Court finds that the contention of learned counsel for the petitioner that interlocutory orders of an arbitral tribunal are assailable before a civil court, is simply misconceived. The application filed by the petitioner before the Civil Court challenging the Tribunal’s order dated 17.05.2025 was thus not maintainable and was rightly dismissed. Consequently, the present civil revision, being an extension of the same challenge, is also not maintainable. The reliance of the learned counsel for the petitioner on cases “Gerry’s International (Pvt.) Ltd. V. Aeroflot Russian International Airlines” (2018 SCMR 662), “Sardar Muhammad Kamal-ud-Din Khan v. Syed Munir Syed and others” (2022 SCMR 806), “Messrs Tribal Friends Co. v. Province of Balochistan” (2002 SCMR 1903), “Muhammad Yousaf Bhindi and others v. Messrs A.G.E. & Sons (Pvt.) Ltd. And others” (PLD 2024 SC 864), “Injum Aqeel v. Latif Muhammad Chaudhry and others” (2023 SCMR 1361) and “Sh. Saleem Ali v. Sh. Akhtar Ali and 7 others” (PLD 2004 Lahore 404) is misplaced. These precedents relied upon by learned counsel for the petitioner are distinguishable on facts since they related to awards or post-award proceedings, not interlocutory procedural directions. None of these

authorities supports the proposition that an interlocutory order of an arbitral tribunal can be independently assailed before a civil court.

**10.** Adverting now to the core issues involved in this case qua the legal status and validity of order dated 17.05.2025 passed by the Arbitral Tribunal after the expiry of its statutory period, but prior to a formal extension of its mandate by the Court, the question requiring determination is whether subsequent extension of the tribunal's mandate, granted by the Court under section 28 of the Arbitration Act, 1940, operates retrospectively to validate proceedings or orders passed after the expiry of the initial period. In the contract between the parties, the arbitration clause did not specify the time-frame for completion of arbitration proceedings. Where no time-frame is provided in the arbitration clause of the contract between the parties, para 3 of first Schedule of Arbitration Act, 1940 shall come into play, which provides as under: -

*“The arbitrators shall make their award within four months after entering on the reference or after having been called upon to act by notice in writing from any party to the arbitration agreement or within such extended time as the Court may allow.”*

Plain reading of the above provision shows that a period of four months is prescribed for making the award, which commences either from the date the arbitrator enters upon the reference or from the date he is called upon to act by notice in writing. In the present case, although the parties initially advanced divergent interpretations of the above-reproduced para 3 of the first schedule when read in conjunction with the facts of this case, however, they ultimately agreed that the prescribed period expired on 24.04.2025.

**11.** The relevant section of the Act of 1940 dealing with extension of time is section 28 which reads: -

**28. Power to Court only to enlarge time for making award.—**  
*(1) The Court may, if it thinks fit, whether the time for making the award has expired or not and whether the award has been made or not, enlarge from time to time the time for making the award. (2) Any provisions in an arbitration agreement whereby the arbitrators or umpire may, except with the*

*consent of all the parties to the agreement, enlarge the time for making the award, shall be void and of no effect*

(Emphasis supplied by this Court)

Plain reading of the above provision shows that under subsection (1), the Court possesses the discretion to enlarge the time for making an award “from time to time.” The use of the expression “from time to time” clearly indicates that the Court may extend the time on more than one occasion if circumstances so warrant. The phrase “whether the time for making the award has expired or not and whether the award has been made or not” signifies that such enlargement may be granted at any stage e.g. during the pendency of the proceedings before the arbitrator, before or after the expiry of the prescribed time and even after the award has been made. In practical terms, where the extension is granted after the expiry of the original period but before the making of the award, the order operates retrospectively, thereby validating the proceedings conducted beyond the original time limit. Similarly, where the extension is granted after the making of the award, it encompasses the situation where the award was rendered after the expiry of time and the subsequent enlargement by the Court relates back, rendering the award valid as if made within the extended period. In such circumstances, there can be no doubt that the extension of time operates retrospectively. Guidance in this respect is found in the case of “Civil Aviation Authority, Karachi v. KIST Consultants (Pvt.) Ltd., LAHORE” (1998 SCMR 2393). The Supreme Court of Pakistan repelled the argument of the learned counsel for the petitioner to the effect that upon expiry of the time, the arbitrator became *functus officio* and thus stood precluded from making the award, by observing that there is a specific power and clear jurisdiction vested in the Court to extend the time even after the award has been made, albeit beyond time. It was also held that once time has lawfully been extended for making an award, even though *ex post facto*, the question that the arbitrator at the time he made the award had become *functus officio* or not, no longer remains a question open for any

further objection. For the facility of ready reference, relevant extract from the said judgment is reproduced hereunder:-

*“Two-fold contentions have been raised before us by Mr. A Latif A Shakoor, the petitioner's learned counsel. In the first place, it is contended that there was no acquiescence or waiver on the part of the petitioner as regards the continuation of the proceedings before the learned Arbitrator nor did the petitioner participate in such proceedings after the expiry of the time allowed to the Arbitrator to render the award. Next it is urged, relying on Hari Shanker Lal v. Shambhu Nath, AIR 1962 SC 78. that, upon expiry of the time, the arbitrator became functus officio and thus stood precluded from making the award. The first of these is a question of fact and the learned Single Judge in the High Court as well as the appellate Bench has held against the petitioner. Nothing has been; placed before us to show that any perverse view on the material available was taken and, therefore, the question of fact, thus, decided is not open for examination at this level.*

*As to the second contention that an arbitrator becomes functus officio once the time allowed for making the award has run out, the position may or may not be such but then there is a specific power and clear jurisdiction vesting in the Court to extend the time even after the award has been made, albeit beyond time. Section 28 of the Arbitration Act is this:--*

*"28. Power to Court only to enlarge time for making award.--(1) The Court may, if it thinks fit, whether the time for making the award has expired or not and whether the award has been made or not, enlarge from time to time the time for making the award.*

*(2) Any provision in an arbitration agreement whereby the arbitrators or umpire may, except with the consent of all the parties to the agreement, enlarge the time for making the award, shall be void and, of no effect."*

*Thus, once time has lawfully been extended for making an award, even though ex post facto, the question that the arbitrator at the time he made the award had become functus officio or not no longer remains a question open for any further objection.*

12. The High Court of Sindh in *“Province of Sindh and 4 others v. Waseem Construction Co.”* (1991 CLC 66 [Karachi]) held that extension of time granted under Section 28 of the Arbitration Act operates retrospectively. In the said case, an award had been signed after the expiry of initial statutory period and the formal extension was secured

only after the award had been signed but before it was filed in court. The relevant excerpt of the said judgment is reproduced hereunder: -

*“The fact that the award was signed on a date before the time was extended does not invalidate the award as the extension operated with retrospective effect.”*

In “Messrs Everest Corporation v. Messrs Dacca Mercantile Company, Karachi And 4 Others” (1993 MLD 1303 [Karachi]), it was held that where award was given by arbitrator beyond period of limitation either prescribed by Arbitration Act itself or any rules or bye-laws or provided in agreement by which parties were governed, same could be extended by Court either before or after giving of award as Court had unfettered discretion under section 28 of the Act to extend period of limitation.

13. Learned counsel for the petitioner emphasized that extension of time in the instant case was ordered by the Civil Court to take effect from the passing of order granting extension on 03.06.2025. In this respect, it is pointed out that wording of the order of the Civil Court dated 03.06.2025 whereby time was extended, in itself is indicative of the fact that starting point of time, as mentioned in that order was merely to calculate expiry of two months time. No intention whatsoever is apparent of the Civil Court to exclude the period w.e.f. 24.04.2025 to 03.06.2025. Therefore, arguments of the learned counsel for the petitioner is mis-placed particularly in view of the case law referred in the preceding paragraph.

14. The above discussion leads to the considered view that subsequent extension of time for making award operates retrospectively. Applying this formula in the instant case, the extension vide order dated 03.06.2025 shall cover the period when order dated 17.05.2025 was passed. As such the order dated 17.05.2025 is not open to exception on the ground of expiry of time.

15. Looking the matter from a different angle, the petitioner's conduct reveals an implied waiver of its right to object to the expiry of the Arbitral Tribunal's mandate, further supported by the doctrine of estoppel. The record reflects that on 15.03.2025 the petitioner initially

agreed to the proposal for a joint application seeking extension of time but when pursuant to this agreed proposal the respondent's counsel prepared and circulated a joint application for extension on 19.04.2025, the petitioner's counsel refused to sign the draft application and instead he pressed for adjudication of its pending application seeking bifurcation of claims. It is pertinent to mention here that the initial time for making award was going to expire on 24.04.2025 just five days after 19.04.2025 when petitioner's counsel refused to sign application for extension of time. Furthermore, the petitioner did not raise any objection regarding the Tribunal's lack of formal mandate on or after the expiry date. Instead, it continued to wait passively for a ruling on its application for bifurcation of claims. This calculated silence and acquiescence lasted until the Tribunal announced its order on 17.05.2025. It was only upon the delivery of an unfavourable decision dated 17.05.2025 that the petitioner sought to weaponize the technical expiry of the time limit, a jurisdictional flaw it had been fully aware of and implicitly accepted for weeks. A party cannot participate in proceedings or hold its peace while awaiting a potential favourable outcome and then, upon an adverse ruling, opportunistically challenge the very jurisdiction it had tacitly affirmed. The petitioner is therefore estopped by its conduct from challenging the order on the grounds of time expiry. Guidance on this point is found in the case of “WAPDA and another v. Messrs Khanzada Muhammad Abdul Haque Khan Khattak And Company” (P L D 1990 SC 359), wherein the Supreme Court of Pakistan held as under: -

*“Reading section 3, implied Condition No.3 in the First Schedule to the Arbitration Act and section 28 thereof together, the position of law appears to be clear that the parties are free to enlarge the time for making the award with their mutual consent as with the consent of all the parties, a term can be incorporated in the arbitration agreement giving powers to the arbitrator to enlarge the time for making the award. By Condition No.3 in the First Schedule, statutorily an implied term is incorporated in the agreement that the award shall be made within four months after entering upon the reference. By this statutory provision, the term is to be taken as an integral part of the arbitration agreement and is subject*

*to alteration with the consent of the parties like any other term of a contract. If that were not the intention of the legislature, section 28(2) would not make valid a provision in the arbitration agreement empowering the arbitrator or arbitrators to enlarge the time for making the award with the consent of the parties. If the parties after the expiry of the four months submit themselves to the jurisdiction of the arbitrator and take part in the proceedings enabling him to make an award, it cannot be said that the arbitrator acted without jurisdiction. In such a contingency, the principles of waiver and estoppel would apply with full force.”*

Further reference is made to the judgment of this Court in “Pakistan Agricultural Storage and Services Corporation v. Messrs Sheikh Muhammad Latif and Another” (1999 M L D 2773 [Lahore]).

**16.** In view of the foregoing, the petitioner, by its own conduct, is estopped from challenging the order dated 17.05.2025 on the ground of expiry of time. This is particularly so in view of the fact that, after having agreed to move a joint application for extension of time, the petitioner failed to sign the said application, which had been duly drafted and circulated by the respondents on 19.04.2025, despite being fully aware that the initial period for making the award was due to expire within five days, i.e., on 24.04.2025. Such conduct clearly reacts against the petitioner. Besides, any defect arising from the passing of the order dated 17.05.2025 after the expiry of the original time stands cured by the subsequent extension of time granted thereafter.

**17.** Adverting now to the question whether the Arbitral Tribunal and the Civil Court acted with material irregularity or illegality in dismissing the petitioner’s application for the separation and individual adjudication of sub-claims, the core purpose of arbitration is to secure a just, speedy and expert resolution of disputes. The parties, in their commercial wisdom, agreed to refer their disputes to a tribunal of engineers. The question of whether to adjudicate multiple claims conjointly or separately is a matter of case management and procedure. It is intrinsically linked to the technical nature of the claims and the

evidence required. The Tribunal while deciding the application of the petitioner concluded as under: -

*“13. Accordingly, the Tribunal records, directs, and orders as follows:*

- (a) The Tribunal has noted that the Claimant has submitted separate claims for each dispute, as per the prescribed format and having no inconvenience for the Respondent to prepare their reply. The Tribunal is therefore satisfied with the presentation and structure of claims.*
- (b) The framing of issues and the discussion of each claim shall of course be conducted separately.*
- (c) - - -*
- (d) - - -*
- (e) - - - ”*

Learned counsel for the petitioner when confronted with the above reproduced portion from paragraph No.13 of the order No.5 dated 17.05.2025 passed by the Tribunal, remained unable to demonstrate how the said observations were in any manner prejudicial to the petitioner's stance. Reference in this case may also be made to the FIDIC 4<sup>th</sup> Edition, a Practical Legal Guide by E.C. Corbett, wherein it was noted: -

*“The current edition puts the matter beyond doubt and thereby avoids the necessity for each dispute to be the subject of a separate Request for Arbitration, with all the time and expense involved, during the currency of the contract.”*

**18.** This Court subscribes to the principle of minimal judicial intervention in arbitral proceedings. The expert tribunal is the master of its own procedure. In the absence of any allegation of bias, violation of the principles of natural justice, or a demonstrable and grave prejudice that cannot otherwise be compensated, a court should be loath to interfere with such procedural determinations. Therefore, on the merits of the application itself, this Court finds no compelling reason to substitute its own view for that of the expert arbitrators.

**19.** The petitioner has further prayed for setting aside the extension of the arbitral timeline up to 03.10.2025. However, in view of the comprehensive discussion made hereinabove regarding the limited scope of judicial interference in arbitral proceedings, and particularly



this Court's findings on the non-maintainability of challenges to interlocutory and procedural orders, this prayer is equally without merit. As already discussed, under Section 28 of the Arbitration Act, 1940, the Court possesses express statutory authority to enlarge the time for making an award regardless whether the time for making the award has expired or not and whether the award has been made or not. The jurisprudence on the subject, as elaborated in this judgment, establishes that such enlargement of time operates retrospectively, thereby validating all acts of the Tribunal performed after the expiry of the initial period and prior to the formal extension. Consequently, once the time was extended up to 03.10.2025, the proceedings of the Tribunal and the orders passed therein stood duly regularized and cannot now be called into question on technical grounds. No illegality, material irregularity, or jurisdictional infirmity has been demonstrated in the grant of such extension. Accordingly, this ancillary prayer of the petitioner for setting aside the extension of the arbitral timeline is declined.

**20.** It would not be out of context to mention here that the impugned order dated 17.05.2025 also nominated the umpire. The petitioner, when challenging the said order before the Civil Court, did not raise any objection regarding the timing of the nomination, nor was any such objection taken in the present petition. It was only towards the conclusion of arguments that the petitioner raised the issue, claiming that the order was unsustainable due to belated nomination of the umpire. This contention appears to be an afterthought, as the petitioner initially accepted the order insofar as it nominated the umpire. Even otherwise, learned counsel for the petitioner has failed to demonstrate any prejudice caused by such delay. The petitioner is therefore estopped from raising this objection, particularly in view of his own failure to submit a reply despite considerable lapse of time. Furthermore, the nomination of umpire itself demonstrates that the Tribunal was actively advancing the proceedings in accordance with law, whereas the petitioner's conduct reflects an intention to delay and prolong the matter.

21. For the foregoing reasons, this Civil Revision being devoid of any merit, is dismissed.

Office is directed to transmit a copy of this judgment to the Arbitral Tribunal/respondent No.3, forthwith, with the direction to carry on proceedings in accordance with law.

**(RAHEEL KAMRAN)**  
**JUDGE**

*Announced in the open Court on \_\_\_\_\_*

**JUDGE**

*Approved for reporting.*

**JUDGE**

*Azhar\**